

3. Implementing policy

Topic	Students should be able to:
3.1 Fiscal policy	Explain: • Government budget • Direct, indirect, progressive, proportional and regressive taxation • Current and capital government expenditure • Budget surplus, deficit and balanced budget • Cyclical and structural budget position • National and government debt • Discretionary fiscal policy and automatic stabilisers • Crowding out • The Laffer curve Explain and calculate: • Average and marginal tax rates Evaluate: • The effectiveness of using fiscal policy to achieve the government's macroeconomic objectives